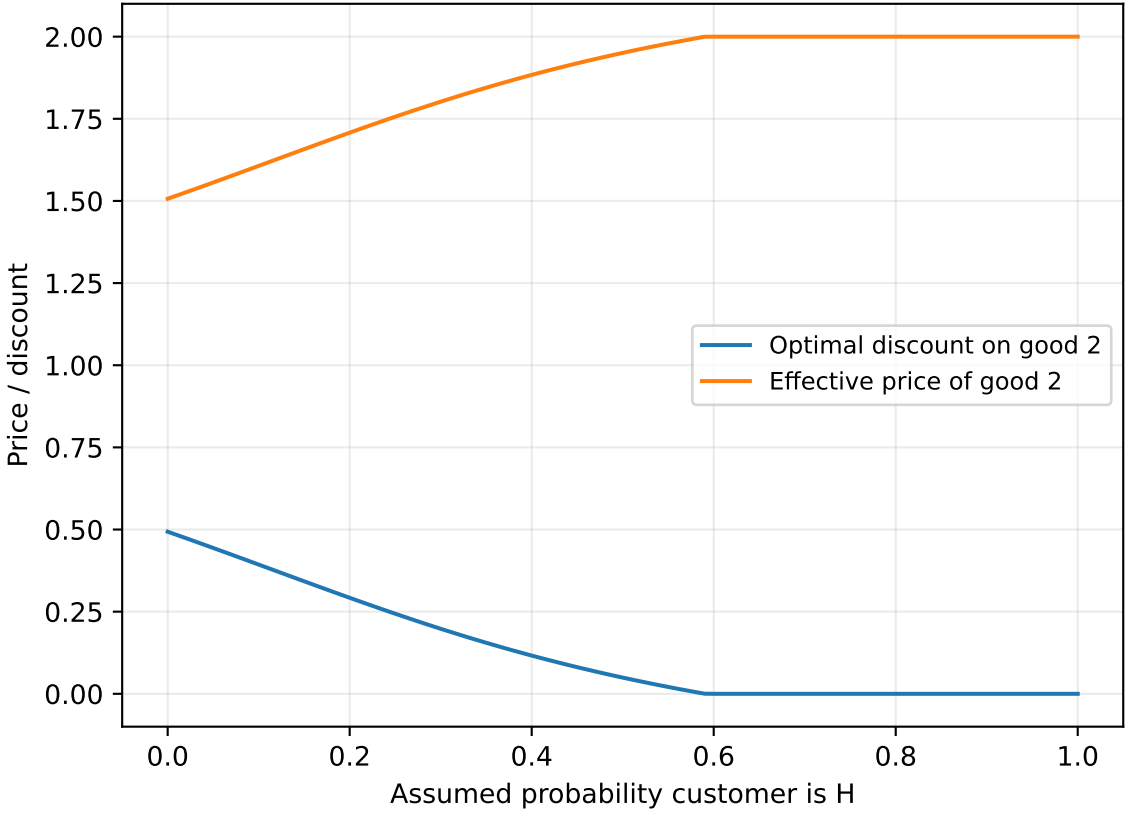
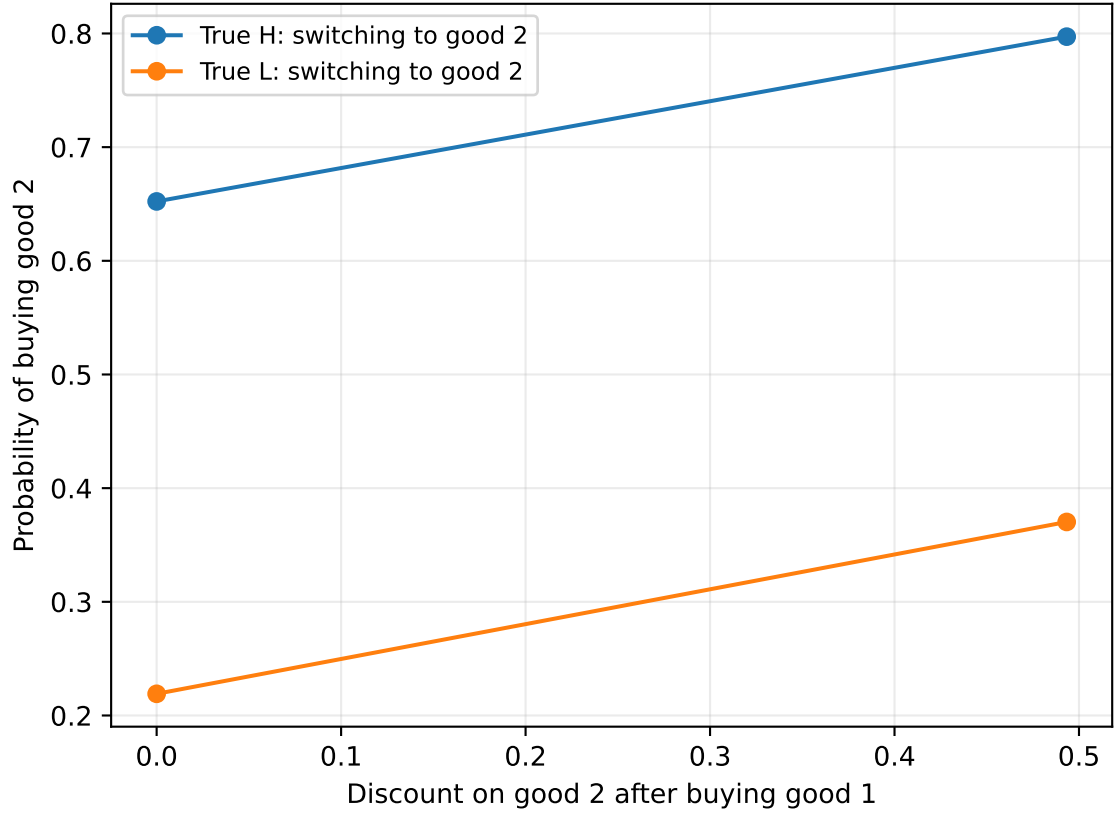

Price / discount
2.00
1.75
1.50
1.25
1.00
0.75
0.50
0.25
0.00
0.0
0.2
0.4
0.6
0.8
1.0
Assumed probability customer is H
Optimal discount on good 2
Effective price of good 2


Probability of buying good 2
0.8
0.7
0.6
0.5
0.4
0.3
0.2
0.0
0.1
0.2
0.3
0.4
0.5
Discount on good 2 after buying good 1
True H: switching to good 2
True L: switching to good 2